

ASCII MASTER FLOW – PANEL 1/12: Pre-GST fragmentation and the 101st Amendment compact

PRE-GST PROBLEM

manufacture tax + service tax + State VAT/CST + entry levies

-> broken cross-credit + cascading + border friction.

101ST AMENDMENT ACT, 2016

Article 246A -> special shared GST competence.

Article 269A -> inter-State levy, collection and apportionment.

Article 279A -> Union-State GST Council.

Article 366(12A) -> GST definition.

CONSTITUTIONAL SURGERY

omitted Article 268A + changed distribution provisions and Seventh Schedule entries.

CORE IDEA

pooled fiscal sovereignty for a destination-based common market.

LIMIT

"One Nation, One Tax" is shorthand; India operates dual GST with exclusions and variations.

MUST REMEMBER: Separate Articles 246A, 269A and 279A, the Council's recommendation, legislative enactment and delegated notification at every stage.

ASCII MASTER FLOW – PANEL 2/12: Articles 246A, 269A and the dual-GST architecture

INTRA-STATE SUPPLY

Central law -> CGST | State/UT law -> SGST/UTGST.

INTER-STATE SUPPLY: ARTICLE 246A(2)

Parliament has exclusive GST legislative power.

ARTICLE 269A

Government of India levies and collects IGST

-> parliamentary law on place of supply and apportionment

-> settlement between Union and destination State.

IMPORT

deemed inter-State supply for GST architecture.

ARTICLE 286

limits State taxation of supplies outside the State or in import/export course.

TRAP

IGST is not a third destination government's tax; it is the settlement bridge for an integrated dual-GST system.

ASCII MASTER FLOW – PANEL 3/12: IGST, place of supply and destination settlement

INTER-STATE SUPPLY

Parliament has exclusive GST competence under Article 246A(2).

ARTICLE 269A

Government of India levies and collects IGST

-> Parliament provides apportionment by law on Council recommendation.

PLACE OF SUPPLY

Parliament formulates principles under Article 269A(5).

CREDIT-SETTLEMENT BRIDGE

supplier State -> IGST collection/credit -> destination State revenue.

IMPORTS

deemed inter-State supplies.

TRAP

IGST coordinates dual GST; it is not a third level's final tax.

COMPOSITION

Union Finance Minister -> Chairperson.

Union Minister of State for Revenue/Finance.

State finance/taxation ministers or nominated ministers.

State members choose a Vice-Chairperson.

ASCII MASTER FLOW – PANEL 5/12: Quorum, voting weights and coalition arithmetic

QUORUM

one-half of total membership.

WEIGHTED VOTE

Union = one-third | States together = two-thirds.

Decision = at least three-fourths of weighted votes present and voting.

ARITHMETIC

Union alone cannot pass; States alone cannot pass.

Union can block because States reach only two-thirds without it.

With Union support, at least five-eighths of State weight is needed.

PRACTICE

consensus is preferred, but does not repeal the formal voting rule.

ASCII MASTER FLOW – PANEL 6/12: Council functions and recommendation-to-law chain

INSTITUTIONAL SUPPORT

GST Council Secretariat -> agenda, records, coordination and implementation follow-up.

PROCEDURE

proposal -> committee/officer analysis -> agenda note -> meeting
-> consensus or weighted vote -> minutes/recommendation -> legal instrument.

LEGAL-EFFECT CHAIN

constitutional recommendation
-> Parliament/State legislature enacts or amends statute
or authorised executive issues rule/notification
-> taxpayer obligation.

RECOMMENDATION FIELDS

subsumed taxes | taxable/exempt supplies | model laws | place of supply
| thresholds | rates/bands | disaster rate | petroleum date | special provisions.

LEGAL-EFFECT RULE

recommendation -> statute/rule/notification -> effective date -> liability.

CLOSE DISTINCTION: Quorum is one-half; the Union has one-third vote weight, States together two-thirds, and a decision needs at least three-fourths of weighted votes of members present and voting.

ASCII MASTER FLOW – PANEL 7/12: Alcohol, petroleum, electricity and tax-base boundaries

ALCOHOLIC LIQUOR FOR HUMAN CONSUMPTION

excluded from Article 366(12A) GST definition.

FIVE PETROLEUM PRODUCTS

GST levy begins from a date recommended under Article 279A(5);
until then, retained excise/VAT fields continue.

TOBACCO

within GST while retained Union excise competence also exists.

ELECTRICITY

not excluded by the GST definition like alcohol;
electricity duty remains under Entry 53 and supply treatment needs exact law.

RATE / EXEMPTION / THRESHOLD

Council recommendation -> competent notification or legislation.

INPUT-TAX CREDIT

reduces cascading where statutory eligibility and compliance conditions are met.

TRAP

do not convert a press release into a self-executing tax rate.

ASCII MASTER FLOW – PANEL 8/12: Compensation bargain, pandemic loans and June 2022 boundary

COMPENSATION ACT, 2017

base year 2015-16 -> projected annual revenue growth 14%
-> protected revenue minus actual revenue -> compensation gap.

FUNDING

compensation cess on specified supplies -> Compensation Fund.

TRANSITION

five years from GST introduction -> entitlement ended in June 2022.

PANDEMIC SHOCK

revenue/cess shortfall -> back-to-back borrowing arrangement
-> cess continued for servicing principal and interest.

CURRENT CONTROL: 24 AUGUST 2026

later cess collection for loan servicing != renewed five-year compensation entitlement.

REFORM LESSON

future shocks need transparent accounts, predictable settlement and negotiated burden sharing.

ASCII MASTER FLOW – PANEL 9/12: Mohit Minerals (2022): persuasion and statute-bound delegated action

Mohit Minerals (2022)

CONSTITUTIONAL HOLDING

Article 279A recommendations are persuasive and carry cooperative value; they are not binding commands on Parliament or State legislatures.

WHY

Article 246A gives simultaneous legislative power and Indian federalism works through dialogue, not Council hierarchy.

STATUTORY QUALIFICATION

where GST legislation conditions delegated rules or notifications on Council recommendation, the executive must obey that statute.

CASE RESULT

ocean-freight levy failed within the statutory composite-supply framework.

TRAP

non-binding recommendation != irrelevant Council
and it does not authorise executive action contrary to enacted GST law.

ASCII MASTER FLOW – PANEL 10/12: Article 279A(11), accountability and dispute design

ARTICLE 279A(11)

Council shall establish a mechanism for specified disputes:

Union v State(s) | Union + State(s) v other State(s) | State v State,
arising from recommendations or implementation.

CURRENT CONTROL: 28 AUGUST 2026

no complete publicly verified adjudicatory mechanism is asserted operational.

DO NOT CONFUSE

GSTAT/taxpayer appeal != constitutional intergovernmental mechanism.

DESIGN TEST

neutral panel + jurisdiction + hearing + reasons + time limit + review.

ASCII MASTER FLOW – PANEL 11/12: Federal gains, autonomy costs and institutional comparisons

GST COUNCIL

continuous bargaining over a pooled indirect-tax base.

FINANCE COMMISSION

periodic Article 280 recommendation on divisible taxes and grants.

FEDERAL GAINS

common market + destination settlement + shared rule forum + coordinated compliance.

FEDERAL COSTS

reduced unilateral State rate space + Union veto capacity
| compensation trust deficit | unequal administrative capacity.

TECHNOLOGY CHAIN

registration -> invoice/reporting -> credit matching -> return/payment
-> analytics -> audit/appeal.

CAUTION

digital trace improves verification but can create exclusion, mismatch and refund burdens.

REFORM

publish revenue models + reasoned minutes + stable rate design
-> operational dispute mechanism + stronger State capacity.

ASCII MASTER FLOW – PANEL 12/12: Current controls, PYQ routes and answer spine

DATED ANCHORS

56th Council meeting release: 3 September 2025.

April 2026 Secretariat newsletter: notification-on-recommendation example.

No commodity-wise current rate list is frozen.

PRELIMS FIREWALL

quorum one-half | Union one-third | States two-thirds

| decision threshold three-fourths weighted

| alcohol excluded | petroleum deferred | electricity separately treated

| recommendation != legislation | compensation entitlement ended June 2022.

PYQ ROUTES

2018 exemption mechanics | 2019 subsumed taxes | 2020 compensation

| 2023 101st Amendment/federalism | 2025 fiscal-federalism adjacency.

MAINS SPINE

pre-GST defect -> three-Article architecture -> Council bargain

-> legal-effect limit -> federal gain/cost -> dated anchor

-> transparent, predictable and cooperative reform verdict.

LEGAL/SOURCE LIMIT: The 56th meeting of 3 September 2025 is the latest official meeting release located. Mohit Minerals (2022) remains the controlling rule that Council recommendations are persuasive, not binding.